

J Sainsbury plc



Preliminary Results

2019/20

J Sainsbury plc

Frozen food

Kevin O'Byrne
Chief Financial Officer

Agenda

01

Financial highlights

02

19/20 performance

03

COVID-19 update

Group performance overview

£m	2019/20	2018/19	Change
Underlying results¹			
Group sales (inc VAT)	32,394	32,412	▼ 0%
Retail operating profit	938	981	▼ 4%
Financial Services operating profit	48	31	▲ 55%
Underlying profit before tax	586	601	▼ 2%
Underlying basic EPS	19.8p	20.7p	▼ 4%
Retail free cash flow	611	456	▲ 34%
Net debt ²	(6,947)	(7,346)	▼ 5%
Non-lease net debt ²	(1,179)	(1,522)	▼ 23%
Statutory results			
Items excluded from underlying results	(331)	(399)	▼ 17%
Profit for the financial period before tax	255	202	▲ 26%
Basic EPS	5.8p	7.6p	▼ 24%

¹ Full breakdown of definitions available in the Alternative Performance Measures

² Including perpetual securities

Retail sales

▼ **(0.6)%**
LFL sales growth¹

▲ **0.2%**
Sales from
net new space¹

▼ **(0.4)%**
Total sales growth¹

Categories

- ▲ **0.4%**
Grocery
- ▼ **(2.9)%**
General Merchandise
- ▲ **1.2%**
Clothing

Channels

- ▼ **(0.1)%**
Supermarkets²
- ▲ **1.3%**
Convenience
- ▲ **7.6%**
Groceries Online

2020/21 FY Guidance³

- Expect to open around 2 new Sainsbury's supermarkets and around 15 convenience stores
- Expect to close around 8 supermarkets and around 14 convenience stores, as part of announced property closure programme
- Expect to open 35-40 Argos in Sainsbury's and close around 50 Argos standalone stores

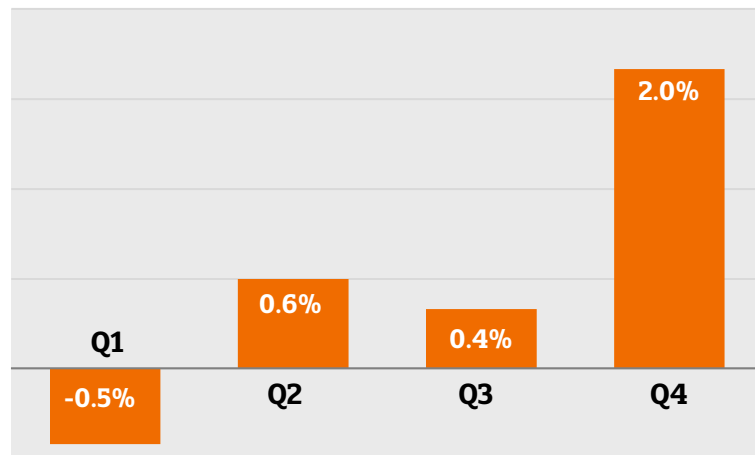
¹ Sales including VAT, excluding fuel

² Supermarket sales include Argos stores in Sainsbury's sales

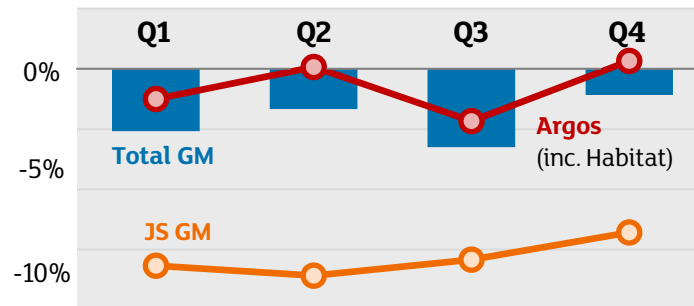
³ Guidance on openings and closures is subject to potential disruption from COVID-19

Sales Momentum

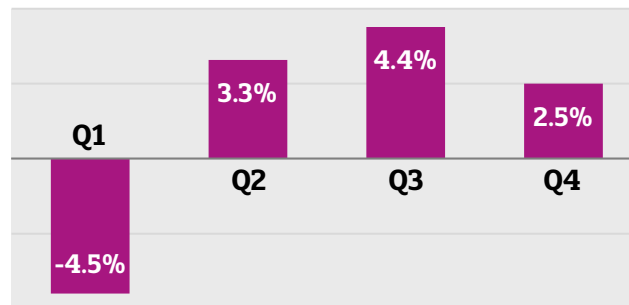
Grocery: Total sales growth



General Merchandise: Total sales growth

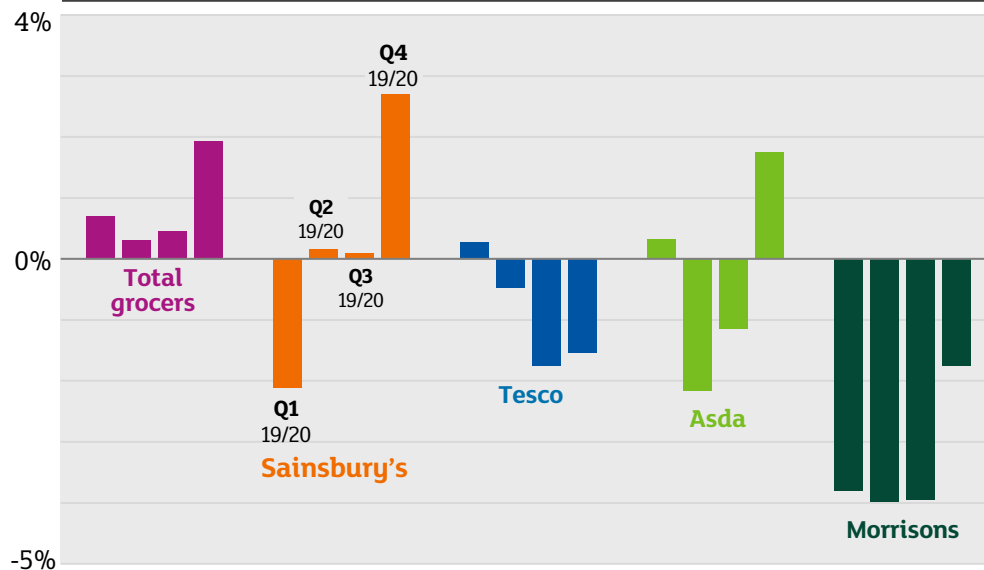


Clothing: Total sales growth



Sales performance versus market

Grocery: Volume growth¹

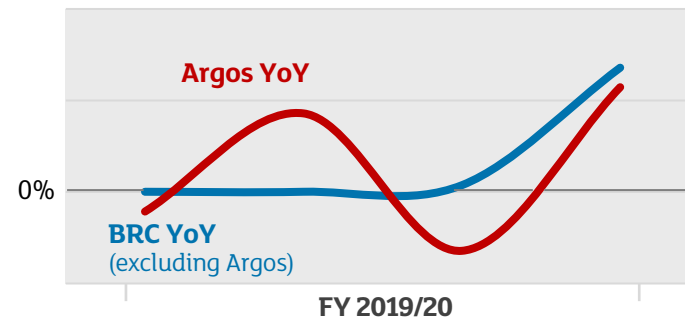


¹ Kantar unit growth YoY. Q1: 11 Mar - 30 Jun 2019, Q2: 1 Jul - 22 Sep, Q3: 23 Sep - 5 Jan, Q4: 6 Jan - 8 Mar 2020

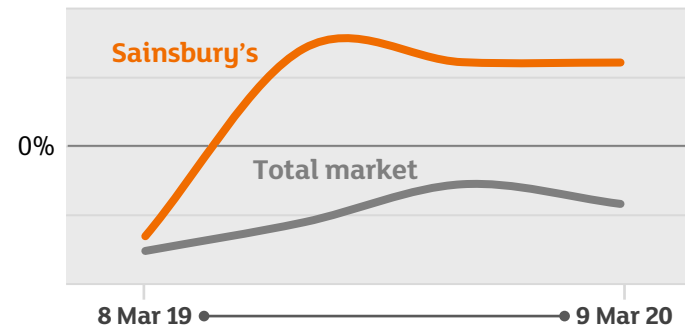
² Argos vs BRC non-food non-clothing market, 52 weeks to 7 March 2020

³ Kantar world panel 52 weeks to 8 March 2020

Argos: Value growth v BRC²

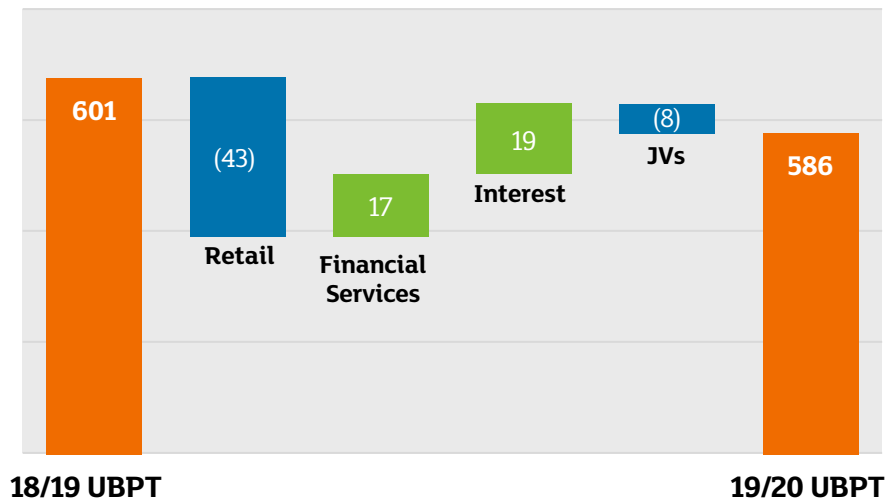


Clothing: Value Growth (%YOY)³

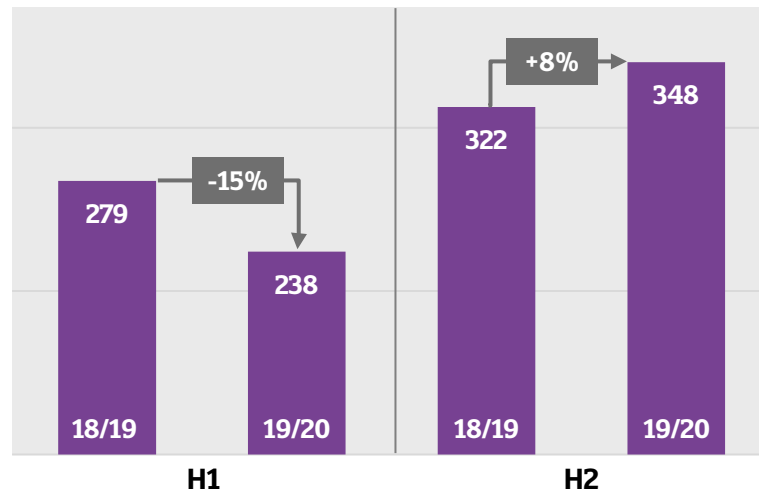


Underlying profit before tax

UPBT Waterfall (£m)

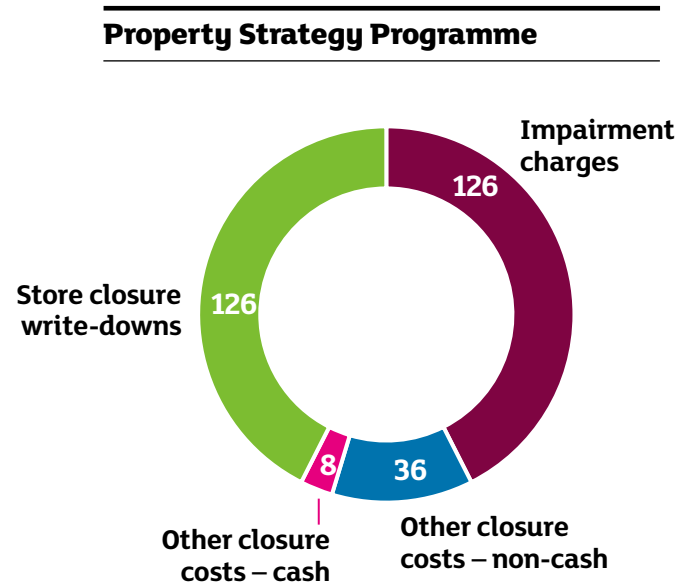


H1/ H2 UPBT



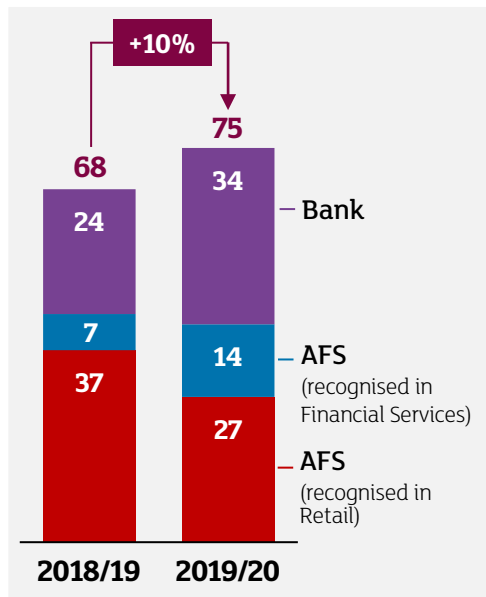
Items excluded from underlying results

£m	2019/20	2018/19
Retail restructuring programme	(32)	(81)
Financial Services transition and other	(29)	(70)
Argos integration costs	-	(40)
Asda transaction costs	-	(46)
Defined benefit pension expenses	19	(118)
Other	7	(44)
Total ex. Property strategy	(35)	(399)
Property strategy programme	(296)	-
Total	(331)	(399)

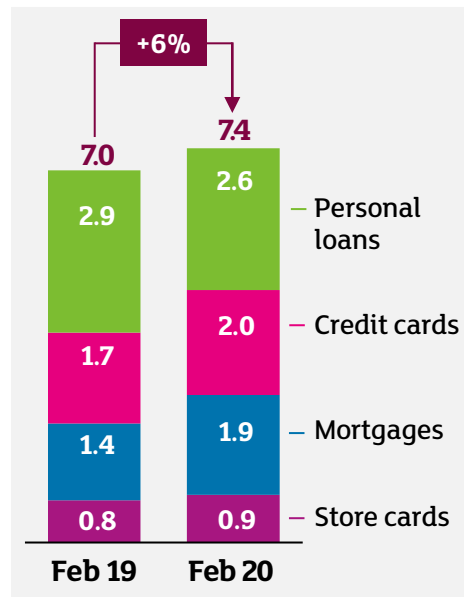


Financial services

Financial Services UPBT (£m)



Customer Assets (£bn)

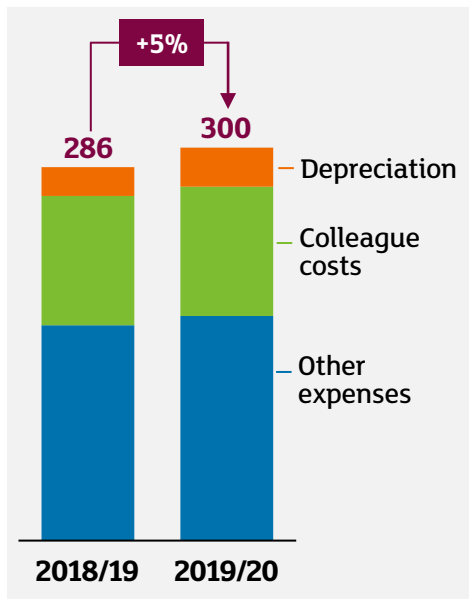


Deposits

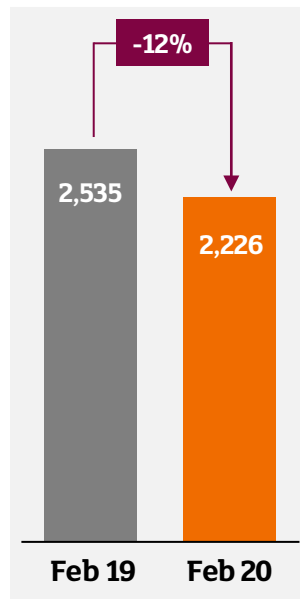


Financial Services Costs

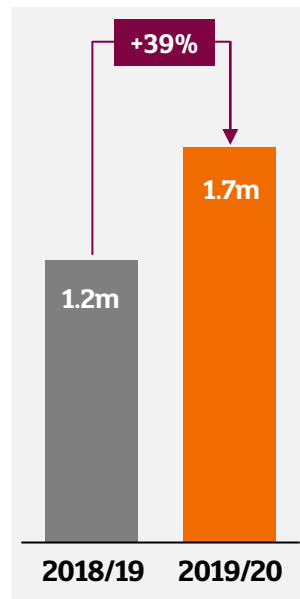
Costs¹ (£m)



Headcount



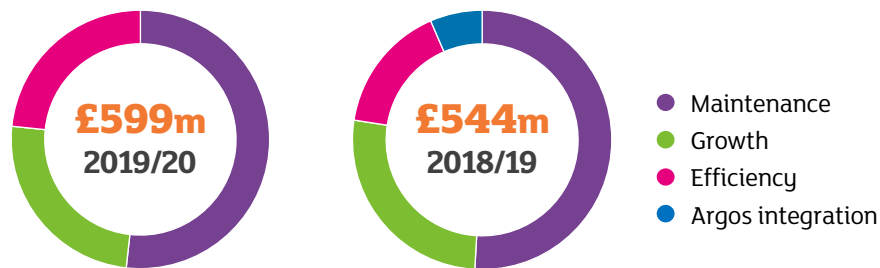
No. of registered customers to AFS mobile App



¹ Group contribution basis

Retail capital expenditure

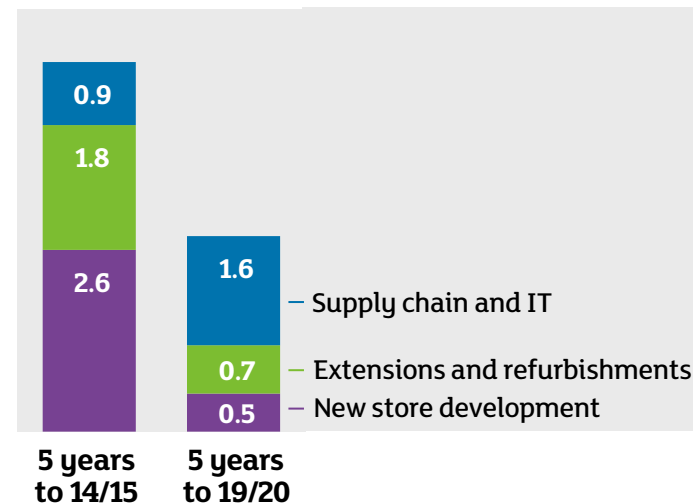
Retail capital expenditure



2020/21 FY Guidance

- Retail capital expenditure is expected to be around £550m-£600m per annum over the medium term
- Update on 2020/21 to be given at Interim Results in November

Core retail capital expenditure (£bn)



Net debt and retail free cash flow

£m – Restated for IFRS 16	2019/20	2018/19
Net cash from operating activities	1,453	1,437
Capital expenditure ¹	(599)	(508)
Disposal proceeds ²	224	78
Bank capital injections	(35)	(110)
Lease repayments ³	(432)	(441)
Retail free cash flow	611	456
Dividends paid on ordinary shares	(247)	(224)
Other	35	(3)
Movement in net debt	399	229
Opening net debt⁴	(7,346)	(7,575)
Closing net debt⁴	(6,947)	(7,346)
Of which:		
Lease liabilities	(5,768)	(5,824)
Net debt excluding lease liabilities⁵	(1,179)	(1,522)

▼ (343)

2020/21 FY Guidance

- No capital injections into the Bank are expected
- Expect underlying retail depreciation and amortisation of around £1.2bn, including c.£500m right of use asset depreciation
- Net finance costs of between £370m-£380m, including c.£310m lease interest in 2020/21, following the introduction of IFRS 16

¹ Excludes Argos integration capital expenditure in 18/19

² Includes dividends received from JVs, net of JV capital injections

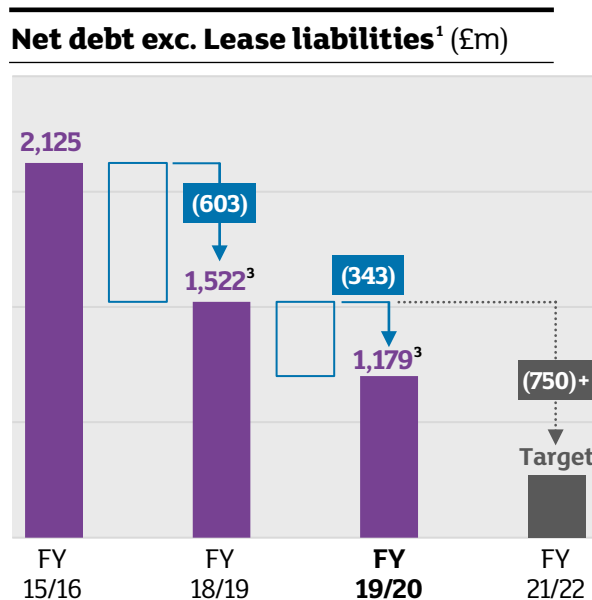
³ Includes initial direct costs on right-of-use assets

⁴ Net debt definition excludes derivatives not linked to borrowings, and includes perpetual securities as debt

⁵ FY18/19 Net Debt exc. Leases of £1,522m compares to the previously reported Net Debt of £1,636m less £(122)m of finance leases, plus £8m other (predominantly derivatives no longer reported within net debt)

Balance sheet targets

- Non-lease net debt reduction of at least £750m over the three years from 18/19 to 21/22
- Medium leverage reduction targets
 - Net debt/EBITDAR² less than 3x



£m	FY 2019/20	FY 2018/19
Net debt	(6,947)	(7,346)
Of which lease liabilities	(5,768)	(5,824)
Net debt exc. leases ¹	(1,179)	(1,522) ³

¹ Net debt definition now excludes derivatives not linked to borrowings, and includes perpetual securities as debt

² Net debt (inc. perpetual securities) on a post-IFRS 16 basis divided by Group underlying EBITDAR. We previously disclosed adjusted Net debt/ EBITDAR, but net debt on a post-IFRS 16 basis now includes lease liabilities

³ FY18/19 Net Debt exc. Leases of £1,522m compares to the previously reported Net Debt of £1,636m less £(122)m of finance leases, plus £8m other (predominantly derivatives no longer reported within net debt)

Summary

- Strong customer response to changes in our Grocery business
- General Merchandise remained tough
- Good progress on Financial Services
- H2 profit growth
- Strong free cash flow, net debt reduction in line with guidance



J Sainsbury plc

Mike Coupe
Chief Executive Officer

J Sainsbury plc

 SmartShop

Exit area



Scan the QR code to finish your shop

Here's how to
shop
smarter

- 1 Download the SmartShop app
on your phone (available on
both iOS and Android)
- 2 No need to queue!
It's a 10-second job to do
- 3 Scan the barcode and pay
your groceries with Apple Pay
or Google Pay
- 4 Get one of the QR codes to
finish your shop

Performance

Our purpose – To help our customers live well for less

Our priorities



**Be competitive
on price**



**Distinctive
products and
categories**



**Personalised
and seamless
physical and
digital**



**Fast, friendly
and convenient**



**Drive
efficiency
to reinvest**



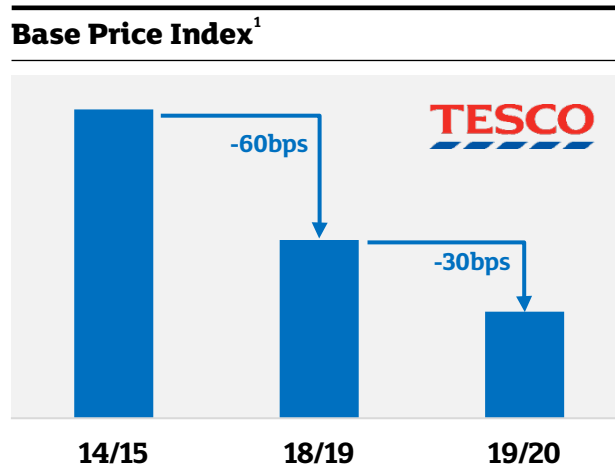
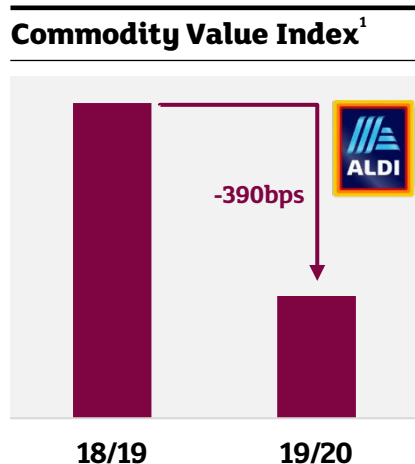
**Be a place
where we all
love to work**



**Net Zero
by 2040**

Improved grocery value

1
Be
competitive
on price



Sainsbury's



Cheapest Supermarket for
Branded Groceries
in 2019
Which? Awards 2019

¹ Sainsbury's value index, based on Edge by Ascential SKU matching data, to March 2020

Major growth initiatives delivered in FY19/20

4

Fast, friendly
and
convenient

12,500

Investments

£164m

Invested in 19/20

More than **1,000** major store projects

Invested in
451
supermarkets

Beauty **124**
Rapid Exit & SmartShop **118**
Tu features **110**
Food Partners & Concessions **93**
Wellness **42**
GM rebalance **40**

Invested in
362
convenience

Food to go **210**
Ambient **250**

Invested in
398
Argos stores

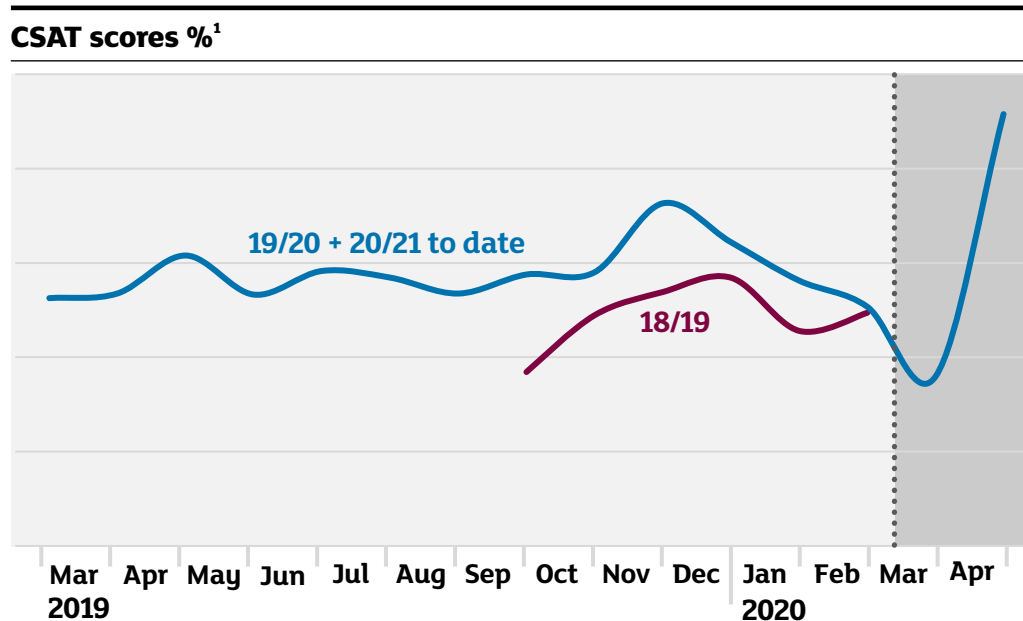
Digital **256**
Argos in Sainsbury's **25**

Improving customer satisfaction ranking

All supermarket measures improved year on year

4

Fast, friendly
and
convenient



¹ Lettuce Know in-store programme, combined Food Business

Channels: Convenience

4

Fast, friendly
and
convenient

On the Go



Mansion House

Neighbourhood hub



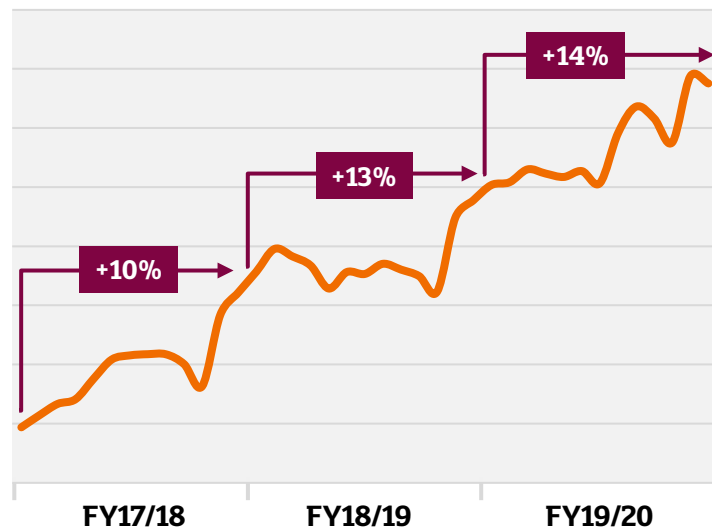
Woodhall Spa

Channels: Groceries Online

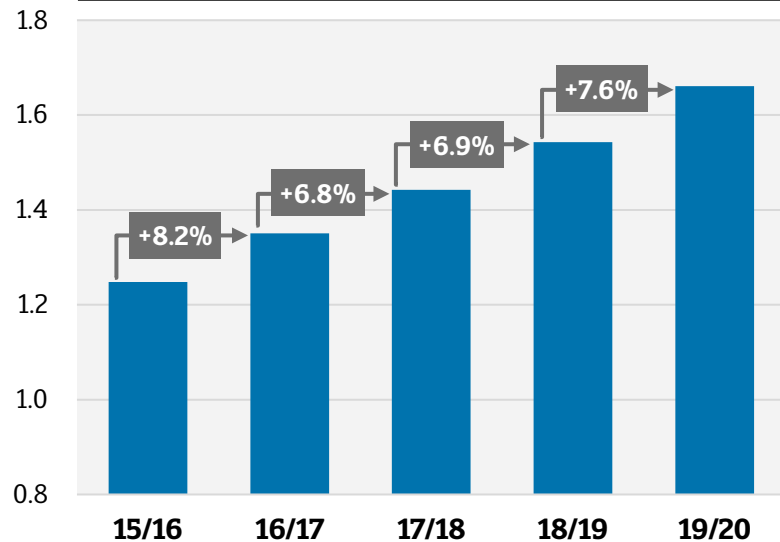
4

Fast, friendly
and
convenient

Items picked per hour improvement



Sales (£bn) and YOY growth rates



Financial Services Priorities

3

Personalised
and seamless
physical and
digital

Reshape the balance sheet

- Stop mortgage origination
- Develop AFS proposition
- Improve margins
- Improve card and insurance momentum

Simplify the organisation

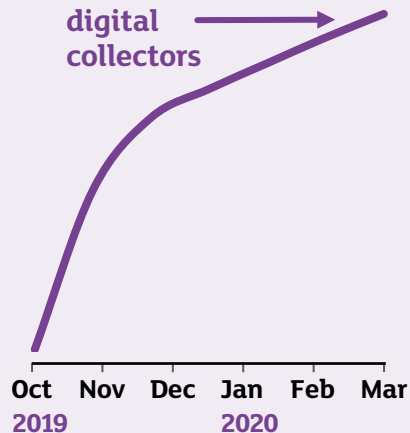
- Right size the cost base
- Rationalise product offering
- Review vendor/supplier arrangements
- Optimise cross-business synergies

Strengthen the business

- Focus on:
 - Operational resilience
 - Conduct
 - Capital efficiency
- Build core competency in:
 - Customer experience
 - Digital
 - Data and analytics
 - Credit/ operational risk
 - Partnerships

Digital Nectar

4.5m+
digital
collectors



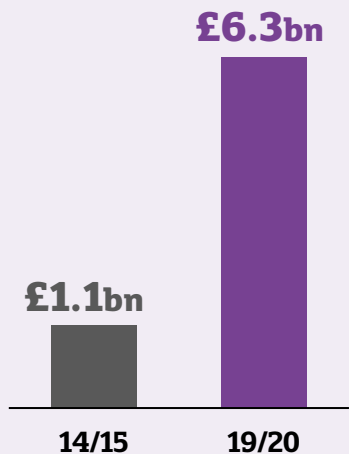
Coalition strengthened



Nectar 360

N E C
T A R
3 6 0

Digital Sales

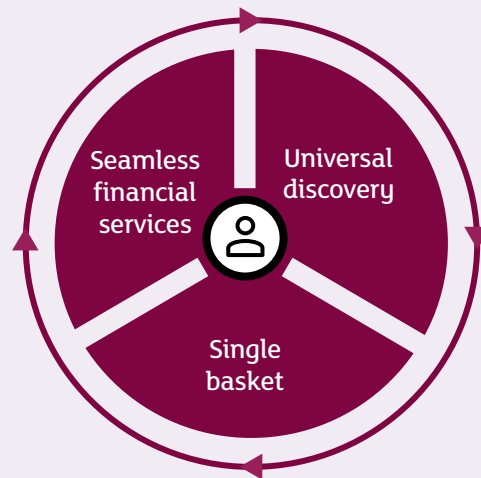


SmartShop

- Rolled out to all supermarkets
- Sales participation in handset stores: 18%

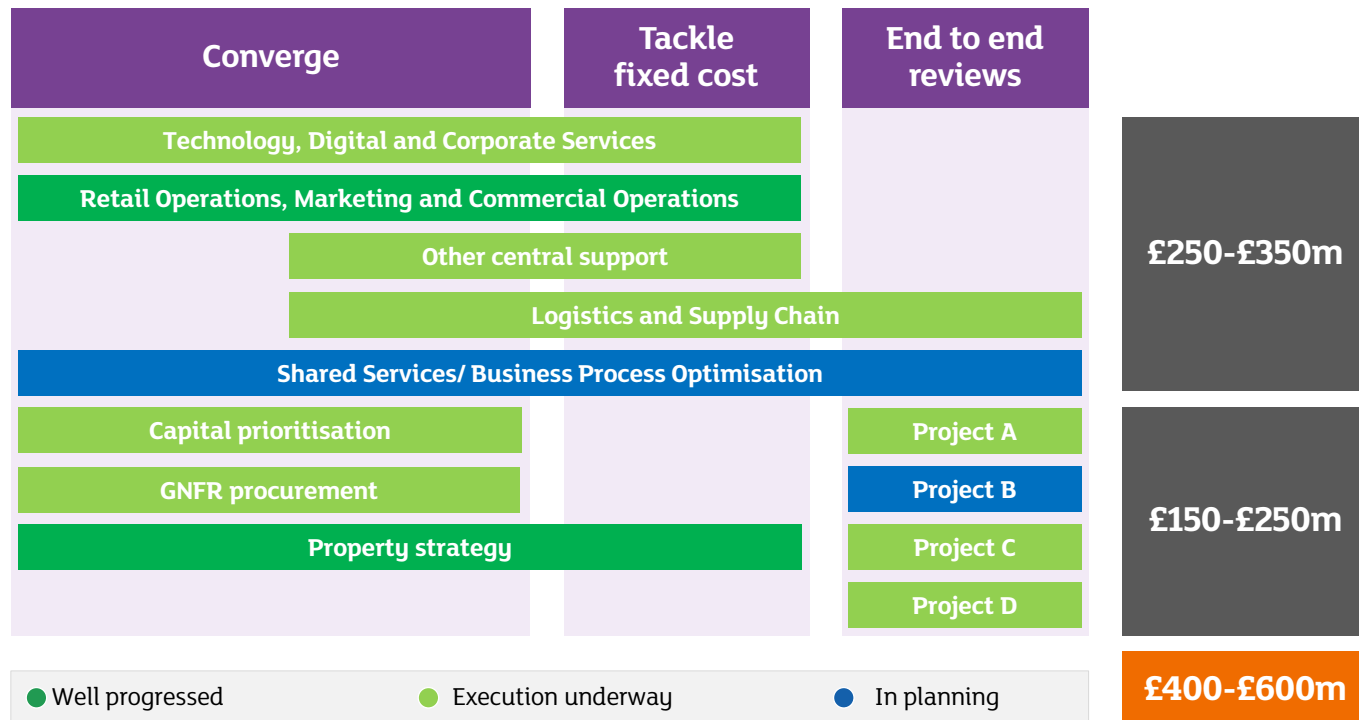


Single Search



Strategic cost transformation: 5 year plan

All programmes largely in execution



Seven key areas of focus

We will invest £1bn over the next 20 years



We will use science based targets and report progress against these every six months



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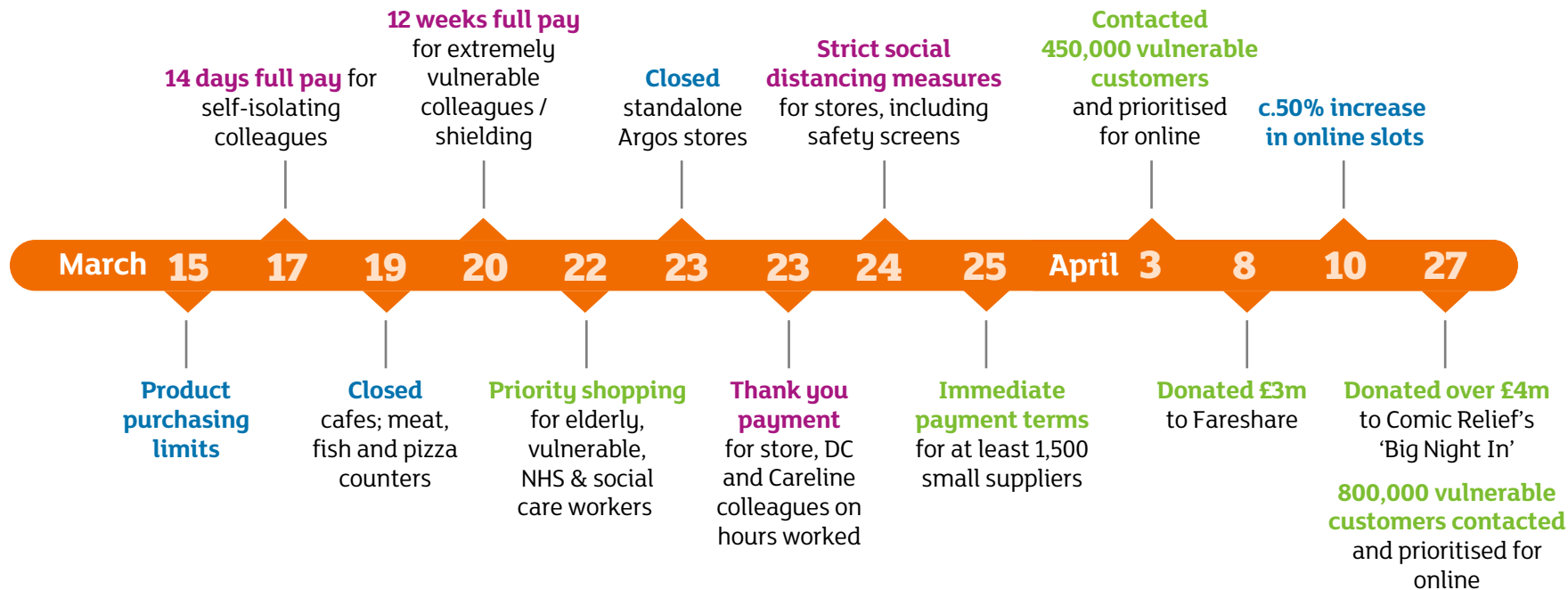
COVID-19

COVID-19: Sainsbury's Timeline

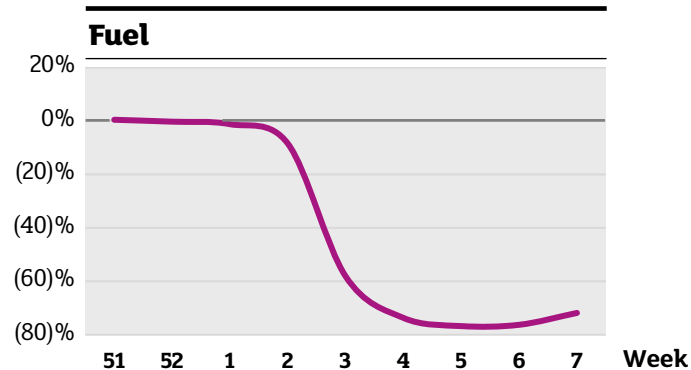
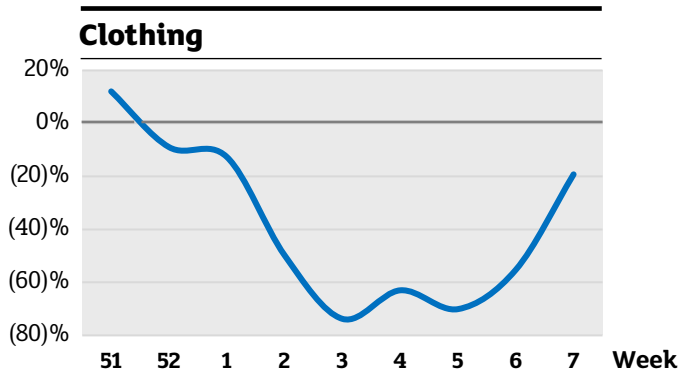
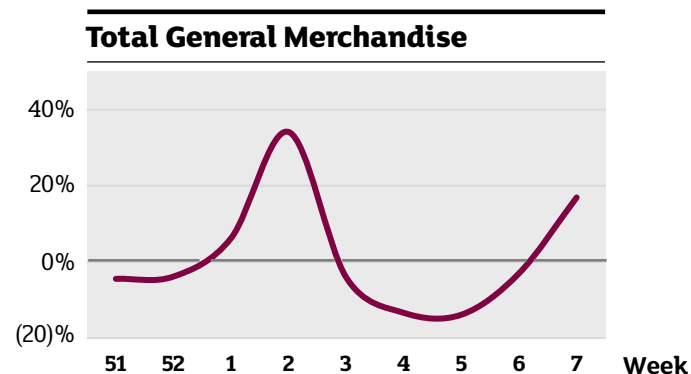
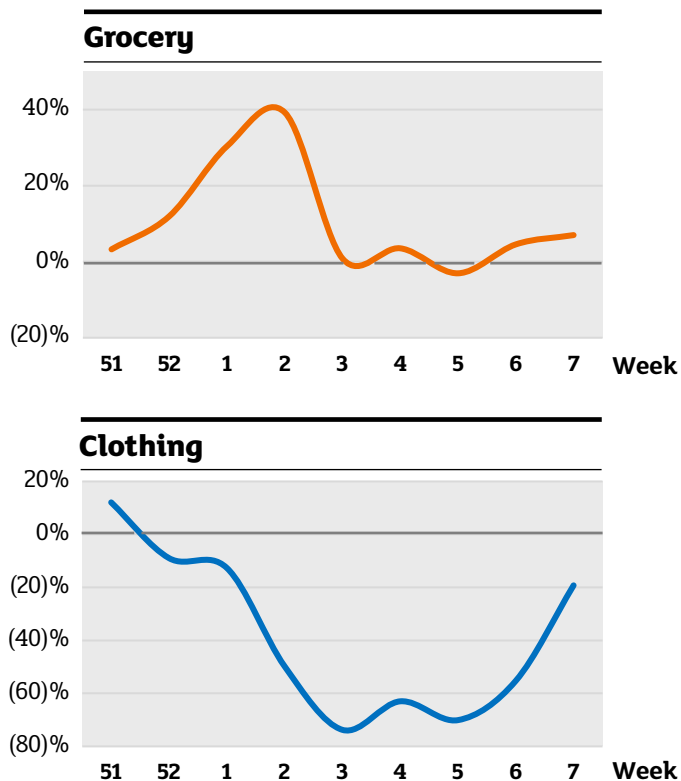
Feeding the nation

Keeping our customers and colleagues safe

Supporting our communities

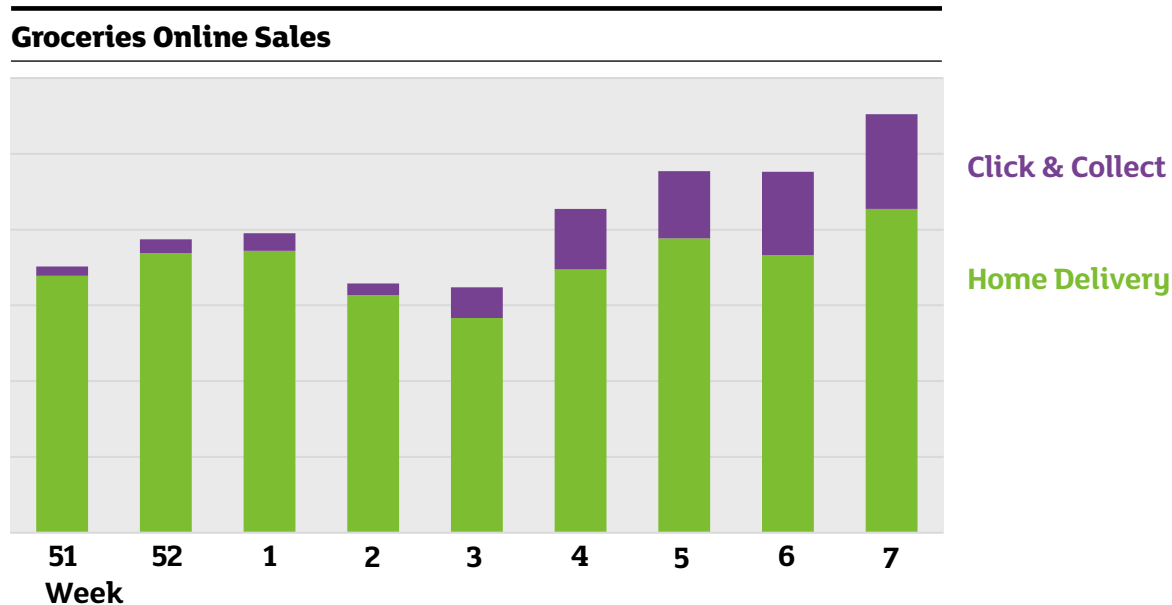


Initial Impact: Sales Shape

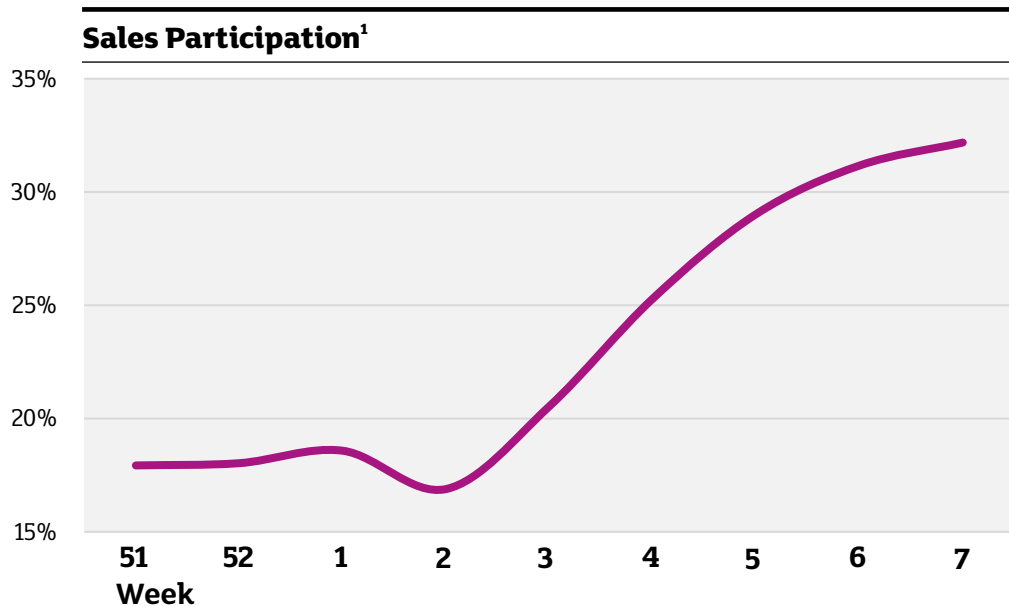


Sales figures have been seasonally adjusted

Initial Impact: Groceries Online

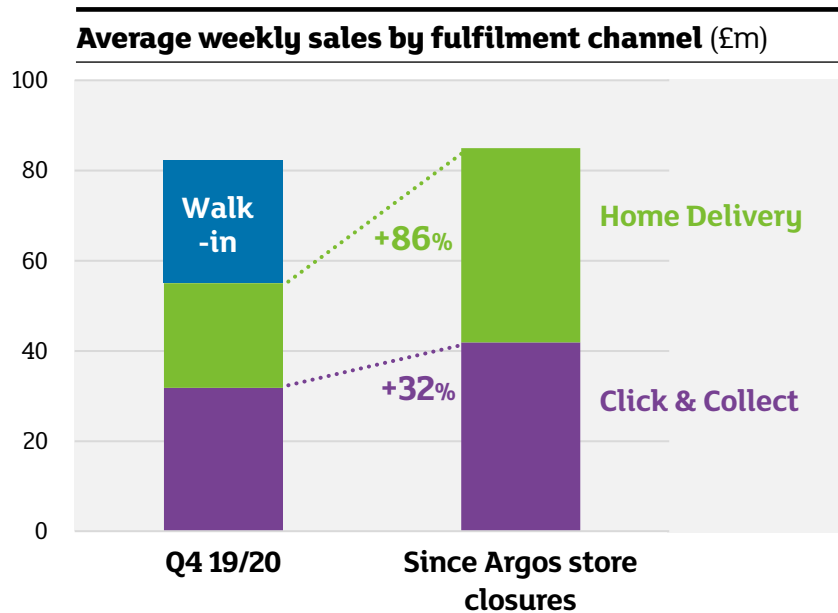


Initial Impact: SmartShop



¹ Average sales participation of handset stores

Initial Impact: Argos



Sales Outlook

Base case

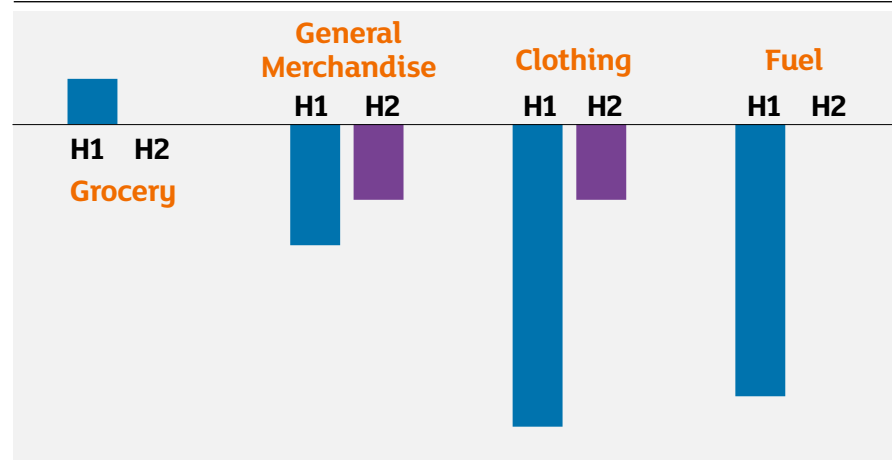
Key assumptions - sales

- **Q1:** Lockdown
- **Q2:** Continued disruption
- **H2:** Normalisation but a weaker economy

Net FY impact

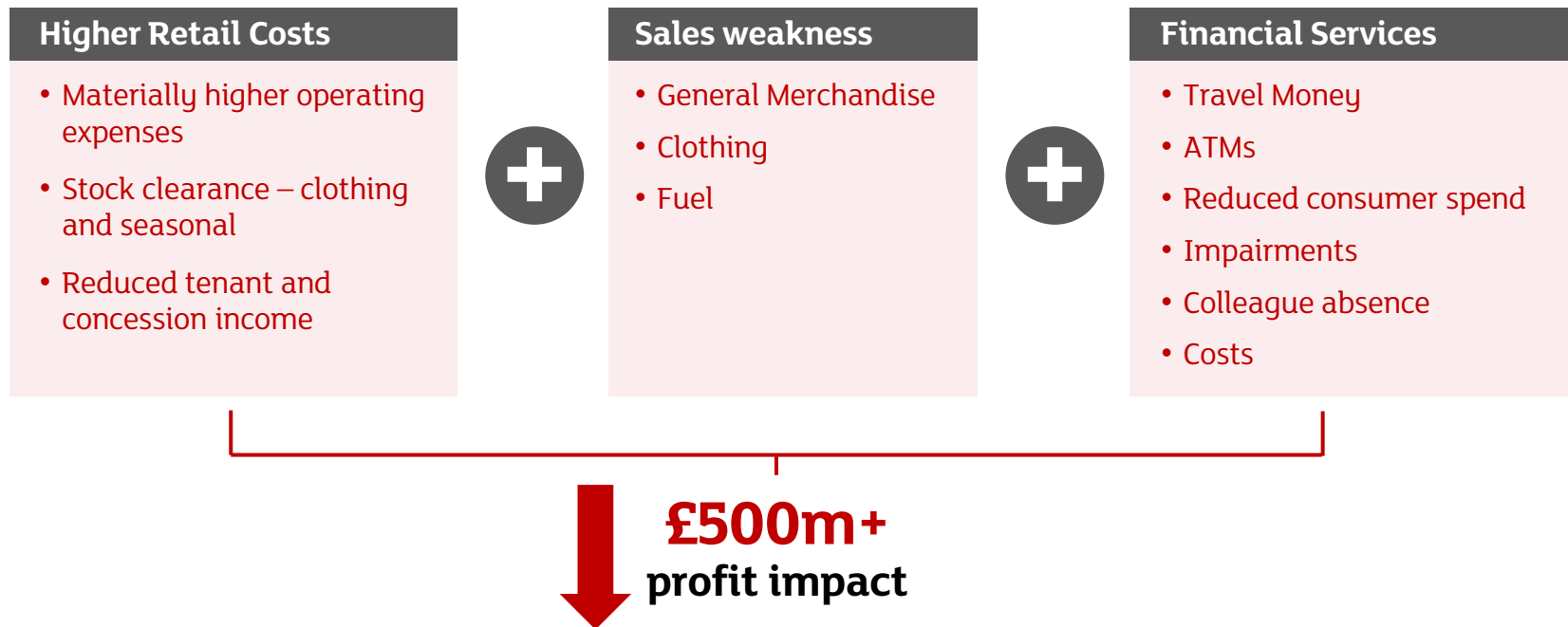
- Grocery positive
- General merchandise, clothing and fuel volumes negative

Sales Growth Assumptions (%)



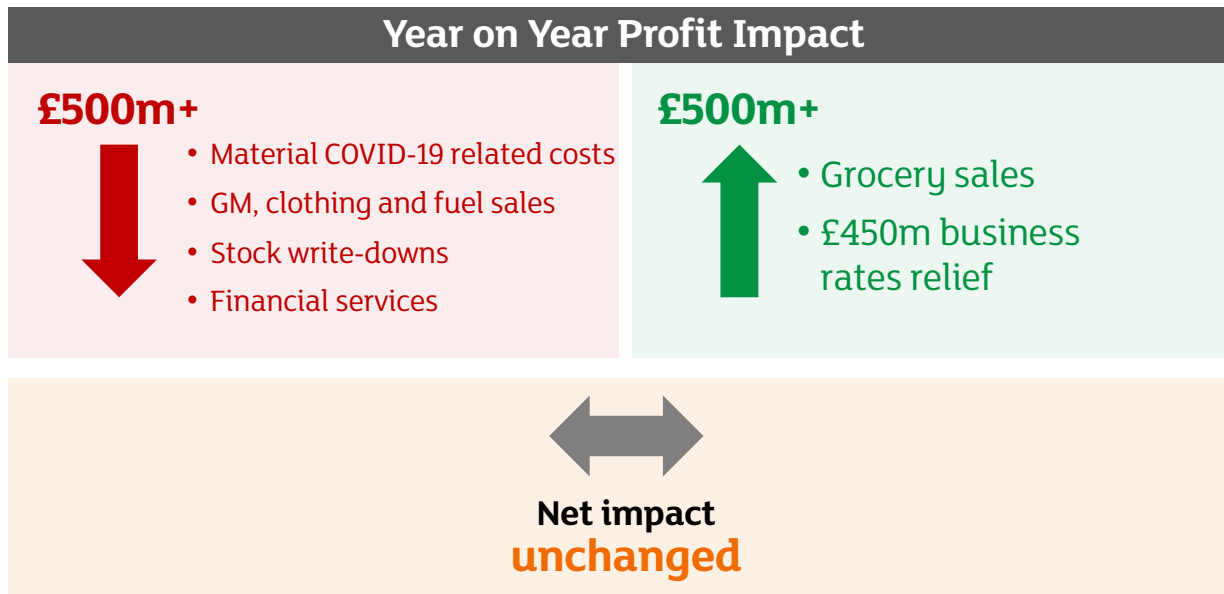
Profit Outlook

Base case



Profit Outlook

Base case



Liquidity

Significant financing headroom

Financial resilience stress testing

Significant headroom – cash and committed funding:

- £1.45bn RCF undrawn at March year end
 - £500m now drawn down for prudence
- Capex H2 weighted

Financial Services balance sheet is strong

- Regulatory capital surplus, significant excess liquidity
- Confident that business will not require capital from Group

Dividend

**Dividend
decision
deferred**

Prudent approach

- Wide range of potential outcomes
- Visibility on full impact of COVID-19 will be greater later in the year

Summary

Results

- Good momentum in our Grocery business
- Coming together as one multi brand, multi channel business
- Strong cash generation

COVID-19 Response

- Great response across the business to COVID-19; supporting customers, colleagues, communities and suppliers
- Strength and flexibility of the multi brand multi channel platform
- Balance sheet strength helping support suppliers, tenants and concessions

Outlook

- Significant incremental costs associated with COVID-19 response
- Business rates relief and uplifts in grocery sales likely to broadly offset incremental costs and weaker general merchandise, clothing and financial services contributions
- Balance sheet strong, liquidity good, prudent deferral of dividend decision



J Sainsbury plc

Q&A

Appendices

Guidance for 2020/21

Space

- Expect to open 2 new Sainsbury's supermarkets and around 15 convenience stores
- Expect to close around 8 supermarkets and around 14 convenience stores, as part of announced property closure programme
- Expect to open 35-40 Argos in Sainsbury's, and close around 50 Argos standalone stores

Depreciation and amortisation

- Expect depreciation and amortisation of around £1.2bn, including c.£500m right of use asset depreciation

Financial Services

- We expect the financial services business to make a loss
- No capital injections into the Bank are expected

One-off items

- Property strategy programme one off costs announced in 19/20 expected to be £330m-£350m in total (£296m in 2019/20). Since the initial announcement at the Capital Markets Day in September the programme has been revisited and this has resulted in additional planned closures. Total cash costs of c.£50m (£8m in 19/20)

Finance costs

- Net finance costs of between £370m-£380m, including around £310m lease interest, following the introduction of IFRS 16

Capital expenditure

- Retail capital expenditure is expected to be around £550m-£600m per annum over the medium term
- Update on 2020/21 to be given at Interim Results in November

Net debt

- Expect non-lease net debt to reduce by at least £750m over the three years from 2018/19 to 2021/22
- Update on 2020/21 net debt outturn to be given at Interim Results in November

Tax rate

- Expect an underlying tax rate of around 25 per cent

Financial services

£m	FY 2019/20	FY 2018/19	Change
Total income ¹	444	439	 1%
Underlying operating profit	48	31	 55%
Customer lending ²	£74bn	£70bn	 6%
Customer deposits	£6.3bn	£6.0bn	 5%
Active customers - Bank	2.12m	2.01m	 5%
Active customers - Argos FS ³	2.24m	2.14m	 5%
Cost/income ratio	71%	71%	 0 bps
Net interest margin ⁴	3.4%	3.8%	 40 bps
Bad debt as a percentage of lending ⁵	1.1%	1.6%	 50 bps
CET 1 ratio ⁶	14.1%	13.7%	40 bps
Total capital ratio ⁷	17.0%	16.7%	30 bps
Total Resource ⁸	2,226	2,535	 12%

1 Net interest, net commission and other operating income

2 Amounts due from customers at the Balance Sheet date in respect of loans, mortgages, credit cards and store cards net of provisions

3 Prior year restated

4 Net interest receivable / average interest-bearing assets

5 Bad debt expense / average net lending

6 Common equity tier 1 capital / risk-weighted assets

7 Total capital / risk-weighted assets

8 FTE and Contractors

Price Quality Framework helps us fund investment

**PQF
implemented
(cumulative)**

49
Range reviews

63%
Total volume



Reduced SKU count
operational efficiencies



Increased sales/volume intensity
operational efficiencies



Improved Value Index
more competitive



More distinctive range
more reasons to shop at Sainsbury's



Cash gross profit +3.4%

Property Strategy on track

	What we said at CMD	Progress to date	Progress to come
Growth: New Space	Openings over 5 years: c.10 supermarkets c. 80 Argos in Sainsbury's c. 110 convenience stores	19/20 2 supermarkets 25 Argos in Sainsbury's 13 convenience stores	20/21* 2 supermarkets 35-40 Argos in Sainsbury's c. 15 convenience stores
Value Creation: MUDs	Net receipts of £150-£200m by 2024	Good progress made	On track to deliver
Efficiency: Store Closures	Closures over 2 years: 10-15 supermarkets 60-70 Argos stores 30-40 convenience stores	19/20 2 supermarkets 27 Argos stores 27 convenience stores	20/21* c. 8 supermarkets c. 50 Argos stores c. 14 convenience stores

* 20/21 openings and closures programme is subject to COVID-19 disruption

Sainsbury's sales area and store numbers

As at 7 March 2020

Supermarkets

	Area (‘000 sq ft)	Number
Opening figures 2019/20	21,210	608
New stores	54	2
Closures	(43)	(2)
Replacement stores	-	-
Extensions	-	-
Refurbishments / downsizes	-	-
Space optimisation	(54)	-
Closing figures FY 2019/20	21,167	608

Convenience

	Area (‘000 sq ft)	Number
Opening figures 2019/20	1,934	820
New stores	35	13
Closures	(74)	(27)
Replacement stores	3	1
Extensions	-	-
Refurbishments / downsizes	-	-
Space optimisation	-	-
Closing figures FY 2019/20	1,898	807

Total

	Area (‘000 sq ft)	Number
Opening figures 2019/20	23,144	1,428
New stores	89	15
Closures	(117)	(29)
Replacement stores	3	1
Extensions	-	-
Refurbishments / downsizes	-	-
Space optimisation	(54)	-
Closing figures FY 2019/20	23,065	1,415

Sainsbury's store estate

As at 7 March 2020

Number of stores

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	807	0	0	0	0	807
Supermarkets	45	123	197	177	66	608
Total stores	852	123	197	177	66	1,415

Space by store size ('000 sq ft)

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	1,898	-	-	-	-	1,898
Supermarkets	350	1,851	5,789	8,593	4,584	21,167
Total stores	2,248	1,851	5,789	8,593	4,584	23,065

Argos and Habitat store numbers

	As at 9 March 2019	New stores	Disposals/closures	As at 7 March 2020
Argos stores	594	1	(25)	570
Argos in Sainsbury's	281	25	-	306
Argos in Homebase	8	-	(2)	6
Other	-	-	-	-
Argos total store numbers	883	26	(27)	882
Habitat ¹	16	-	-	16
Collection points	317	6	(42)	281

¹ 5 Habitat stores, 11 Habitat stores in Sainsbury's

Sainsbury's investment programme

2019/20

Supermarkets

New stores

South Woodham Ferrers	Q3
Olney	Q3

Closures

Bitterne West	Q1
Bracknell	Q4

Convenience

New stores

Milton Keynes, Brooklands District Cent	Q1
Bromley High St	Q1
Leeds, Wike Ridge Lane	Q1
Salford, Harbour City	Q2
Canterbury High St	Q2
Aylesbury, Berryfields Local Centre	Q3
Bishopton , Dargavel Village	Q3
Dundee, Perth Road	Q3
Oxford, Park End Street	Q3
Bristol, Lyde Green	Q3
Woodhall Spa, Tattershall Road	Q3
Harmondsworth, Speedbird Way	Q4
Battersea Park Station	Q4

Replacement

Mayfair, Stratton St	Q2
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Closures

Mayfair	Q1	Spring Bank	Q3
Warren Street	Q2	Hessle Road	Q3
Greenwood Ave	Q3	Newington	Q3
Gateford Rd	Q2	Edgehill Road	Q3
Bradford Keighley Road	Q3	Weston Street	Q3
Merrion Centre	Q3	Edinburgh, Whitehouse Rd	Q3
Bricknell Ave	Q3	Aberdeen, Union Street	Q3
Brockenhurst, Brookley Road	Q3	Crescent Road	Q4
Glasgow, Sauchiehall St	Q3	The Forge	Q4
Selkirk	Q3	Linthorpe Road	Q4
Portsmouth, London Road	Q3	Nuthall Rd	Q4
Biggar High St	Q3		
Gloucester Cres	Q3		
Leicester, Narborough Road	Q3		
Wealdstone	Q3		
Gerrards Cross, Packhorse Road	Q3		

Retail margin

£m	FY 2019/20	FY 2018/19	Change
Retail sales (inc VAT, inc fuel)	31,825	31,871	▼ 0.1%
(exc VAT, inc fuel)	28,424	28,466	▼ 0.1%
Retail underlying EBITDAR¹	2,125	2,152	▼ 1.3%
Retail underlying EBITDAR margin %²	7.48	7.56	▼ 8 bps
at constant fuel prices	7.48	7.56	▼ 8 bps
Retail underlying operating profit³	938	981	▼ 4.4%
Retail underlying operating margin %⁴	3.30	3.45	▼ 15 bps
at constant fuel prices	3.30	3.45	▼ 15 bps

¹ Retail underlying operating profit before net rental income of £10 million and underlying depreciation and amortisation of £1,197 million

² Retail underlying EBITDAR divided by underlying retail sales excluding VAT

³ Retail underlying earnings before interest, tax and Sainsbury's underlying share of post-tax profit from joint ventures

⁴ Retail underlying operating profit divided by underlying retail sales excluding VAT

Financial ratios

£m	FY 2019/20	FY 2018/19
Return on capital employed % ¹	7.4	7.4
Net debt to EBITDAR (times) ²	3.2	3.3
Fixed charge cover (times) ³	2.7	2.6
Underlying tax rate %	25.4	24.5
Core retail capex / sales ⁴	1.9	1.6

1 ROCE: Return is defined as a 52 week rolling underlying profit before interest and tax. Capital employed is defined as group net assets excluding the pension deficit/surplus and excluding net debt. The average is calculated on a 14 point basis.

2 Net debt of £6,947 million includes lease obligations under IFRS 16 and perpetual securities treated as debt, divided by Group underlying EBITDAR of £2,203 million.

3 Group underlying EBITDAR divided by rent (both capital and interest) and net underlying finance costs, where interest on perpetual securities is treated as an underlying finance cost.

4 Includes retail sales inc vat inc fuel

Plc Board



Martin Scicluna
Chairman



Mike Coupe
Chief Executive



Kevin O'Byrne
Chief Financial
Officer



Dame Susan Rice
Senior
Independent Director



Jean Tomlin
Non-Executive Director



David Keens
Non-Executive Director



Matt Brittin
Non-Executive Director



Brian Cassin
Non-Executive Director



Jo Harlow
Non-Executive Director



Simon Roberts
Chief Executive
from 1 June 2020

Plc Board

Martin Scicluna

Chairman

Appointment to the Board

Martin joined the Board as Chairman Designate and Non-Executive Director on 1 November 2018. He was appointed Chairman of the Board on 10 March 2019.

Committee membership

Chair of the Nomination Committee and member of the Corporate Responsibility and Sustainability Committee.

Skills and experience

Martin is Chairman of RSA Insurance Group plc and was previously Chairman of Great Portland Estates plc. He brings a wealth of past and current experience from over 25 years' service as an executive and non-executive board director in a wide range of companies.

Career experience

Previous roles include Chairman of Great Portland Estates plc, Senior Independent Director and Chair of the Audit Committee of Worldpay Inc., and Non-Executive Director and Chair of the Audit Committee of Lloyds Banking Group plc. He was a partner at Deloitte LLP for 26 years, serving as Chairman from 1995 to 2007, where his clients included Dixons, WH Smith, Alliance Unichem and Cadbury.

Current directorships/business interests

Chairman of RSA Insurance Group plc.

Mike Coupe

Chief Executive Officer

Appointment to the Board: 1 August 2007

Mike has served as an Executive Director since 1 August 2007 and as Chief Executive Officer since 9 July 2014.

Committee membership

Corporate Responsibility and Sustainability Committee

Skills and experience

Mike has vast retail industry experience in trading, strategy, marketing, digital and online functions, as well as multi-site store experience. He has applied this knowledge to manage the business and to implement the strategy and policies approved by the Board.

Career experience

Mike joined Sainsbury's from Big Food Group, where he was a board director of Big Food Group PLC and Managing Director of Iceland Food Stores. He previously worked for both Asda and Tesco PLC, where he served in a variety of senior management roles.

Kevin O'Byrne

Chief Financial Officer

Appointment to the Board: 9 January 2017

Skills and experience

Kevin brings a wealth of retail and finance experience to the Board from his various Chief Executive and Chief Financial Officer roles. His skills and experience in leading Finance and driving performance improvement provide the business with valuable expertise in pursuing its strategy.

Career experience

Kevin was previously Chief Executive Officer of Poundland Group Limited until December 2016 and held executive roles at Kingfisher plc from 2008 to 2015, including Divisional Director UK, China and Turkey, Chief Executive Officer of B&Q UK & Ireland and Group Finance Director. Prior to this, he was Group Finance Director of Dixons Retail plc and European Finance Director of Quaker Oats. He was a Non-Executive Director of Land Securities Group PLC from 2008 to September 2017, where he was Chairman of the Audit Committee and Senior Independent Director.

Current directorships/business interests

Non-Executive Director and Chairman of the Audit Committee of Centrica plc.

Plc Board

Dame Susan Rice **Senior Independent Director**

Appointment to the Board: 1 June 2013. Susan has been the Senior Independent Director since 6 July 2016.

Committee membership
Chair of the Remuneration Committee and a member of the Nomination Committee.

Skills and experience
Susan has extensive experience as a Non-Executive Director, as well as in retail banking, financial services, leadership and sustainability. Her career in retail banking is particularly relevant to the ownership of Sainsbury's Bank and Argos Financial Services.

Career experience
Susan has been a member of the Scottish First Minister's Council of Economic Advisors, a Managing Director of Lloyds Banking Group Scotland and Chief Executive, and then Chairman, of Lloyds TSB Scotland plc. She has also held a range of non-executive directorships, including at the Bank of England and SSE plc.

Current directorships/business interests
Chair of Scottish Water and Business Stream, Chair of the Banking Standards Board, Chair of the Scottish Fiscal Commission and Senior Independent Director of the North American Income Trust.

Jean Tomlin **Non-Executive Director**

Appointment to the Board: 1 January 2013

Committee membership
Audit Committee, Corporate Responsibility and Sustainability Committee and Nomination Committee.

Skills and experience
Jean has extensive experience and breadth of skills in human resources and corporate responsibility, enabling her to challenge the Executive Directors constructively and monitor the delivery of the strategy within the risk and control framework set by the Board.

Career experience
Jean was formerly Director of HR, Workforce and Accreditation for The London Organising Committee of the Olympic and Paralympic Games, where she set the strategic direction to ensure the mobilisation of the combined 200,000-strong workforce including paid staff, volunteers and contractors. This represented the recruitment and mobilisation of the largest peacetime workforce and set the industry standard for volunteering with the highly acclaimed Games. She was previously Group HR Director at Marks and Spencer Group Plc, HR Director and founder member of Egg plc, and Sales & Operations Director of Prudential Direct. Jean is a Fellow of the Chartered Institute of Personnel and Development (FCIPD).

Current directorships/business interests
Independent Board member of Capri Holdings Limited, Non-Executive Director of Holdingham Group Ltd and Chief Executive Officer of Chanzo Limited.

David Keens **Non-Executive Director**

Appointment to the Board: 29 April 2015

Committee membership
Chair of the Audit Committee and a member of the Nomination Committee

Skills and experience
David has extensive retail experience and knowledge of consumer-facing businesses, together with core skills in finance.

Career experience
David was formerly Group Finance Director of NEXT plc from 1991 to 2015 and their Group Treasurer from 1986 to 1991. Previous management experience includes nine years in the UK and overseas operations of multinational food manufacturer Nabisco and, prior to that, seven years in the accountancy profession.

Current directorships/business interests
Non-Executive Director, Senior Independent Director and Chair of the Audit Committee of Auto Trader Group plc.

Plc Board

Matt Brittin

Non-Executive Director

Appointment to the Board: 27 January 2011

Committee membership

Nomination Committee and Remuneration Committee.

Skills and experience

Matt has extensive experience of running a high profile, fast moving, innovative digital business and is able to provide first hand guidance to the Board on building and driving digital customer journeys across the business. This knowledge enables him to develop and monitor the delivery of the strategy within the risk and control framework set by the Board.

Career experience

Since 2015, Matt has been responsible for Google's business and operations in Europe, the Middle East and Africa; and he has served in leadership roles at Google since 2007. Prior to that, Matt spent much of his career in media and marketing, with particular interest in strategy, commercial development and sales performance. This included commercial and digital leadership roles in UK media.

Current directorships/business interests

Google's President – Europe, Middle East and Africa and Director of The Media Trust.

Brian Cassin

Non-Executive Director

Appointment to the Board: 1 April 2016

Committee membership

Audit Committee and Nomination Committee

Skills and experience

Brian brings present day experience of running a FTSE 30 group with knowledge of big data and analytics, both topics of key importance to Sainsbury's. As CEO of Experian plc, Brian brings with him strong leadership experience and a substantial background in operating within a regulated environment.

Career experience

Brian joined Experian plc as Chief Financial Officer in April 2012, a post he held until his appointment as Chief Executive Officer in July 2014. Prior to this, Brian spent his career in investment banking at Greenhill & Co, where he was Managing Director and Partner. Brian has also held various roles at Baring Brothers International and at the London Stock Exchange.

Current directorships/business interests

Chief Executive Officer of Experian plc

Jo Harlow

Non-Executive Director

Appointment to the Board: 11 September 2017

Committee membership

Chair of the Corporate Responsibility and Sustainability Committee and member of the Nomination Committee and Remuneration Committee.

Skills and experience

Jo brings a wealth of experience in consumer-facing businesses and in the telecoms and technology industries, both in the UK and internationally.

Career experience

Jo most recently held the position of Corporate Vice President of the Phones Business Unit at Microsoft Corporation. She was previously Executive Vice President of Smart Devices at Nokia Corporation, following a number of senior management roles at Nokia from 2003. Prior to that, she held marketing, sales and management roles at Reebok International Limited from 1992 to 2003 and at Procter & Gamble Company from 1984 to 1992.

Current directorships/business interests:

Jo currently serves as Non-Executive Director and Chair of the Remuneration Committee of InterContinental Hotels Group plc, Non-Executive Director and Chair of the Remuneration Committee of Halma plc, and a Member of the Supervisory Board of Ceconomy AG.

Plc Board

Simon Roberts

Chief Executive Officer from 1 June 2020

Appointment to the Board: 1 June 2020

Committee membership

Corporate Responsibility and Sustainability Committee.

Skills and experience

Simon joined Sainsbury's and the Operating Board in July 2017 as Retail & Operations Director responsible for Stores, Central Operations and Logistics. He brought a wide range of experience and leadership skills to the Board from previous executive and non-executive roles.

Career experience

Simon has over 30 years' experience leading major UK retail brands, having spent 15 years at M&S and 13 years at Boots. Prior to joining Sainsbury's, Simon was Executive Vice President of Walgreens Boots Alliance and President of Boots UK and Ireland. During his tenure, Simon led Boots UK to achieve growth in sales and transactions, increased retail gross margin and doubled sales online. Before Boots, Simon was at Marks and Spencer Group Plc, where he started his career in stores.

Current directorships/business interests

Non-Executive Chairman at the Institute of Customer Service.

Retirements in 2019/20

John Rogers retired from the Board on 31 October 2019.

Life President

**Lord Sainsbury of
Preston Candover KG**

Operating Board



Mike Coupe
Chief Executive Officer



Kevin O'Byrne
Chief Financial Officer



Simon Roberts
Chief Executive Officer
from 1 June 2020



Tim Fallowfield OBE
Company Secretary and
Corporate Services Director



Jim Brown
Chief Executive Officer,
Sainsbury's Bank



Paul Mills-Hicks
Commercial Director



Angie Risley
Group HR Director



Phil Jordan
Chief Information Officer



Clo Moriarty
Chief Digital Officer

Operating Board

Mike Coupe
Chief Executive Officer
See Appendix page 11

Kevin O'Byrne
Chief Financial Officer
See Appendix page 11

Simon Roberts
Chief Executive Officer
from 1 June 2020
See Appendix page 14

Tim Fallowfield OBE
Company Secretary and
Corporate Services Director

Date of appointment: September 2004

Skills and experience

Tim joined Sainsbury's in 2001 as Company Secretary, having previously held the position of Company Secretary and General Counsel at Exel plc, the global logistics company, now part of DHL. Tim is a qualified solicitor and began his career at the international law firm, Clifford Chance. He joined Sainsbury's Operating Board in September 2004 and, in addition to his role as Company Secretary, he is responsible for the Corporate Services Division comprising Legal Services, Data Governance and Information Security, Safety, Shareholder Services, Insurance and Central Security. He chairs the Group Safety Committee and the Data Governance Committee.

Tim is Chairman of the Disability Confident Business Leaders Group, which works with Government in shaping the disability employment agenda and in raising awareness of the benefits of employing disabled people. He was awarded an OBE for services to disability awareness in the 2020 New Year's Honours List.

Jim Brown
Chief Executive Officer, Sainsbury's Bank

Date of appointment: June 2019

Skills and experience

Jim joined Sainsbury's Bank in June 2019. He has held a number of senior international financial services roles, most recently for RBS in the UK as CEO of Williams and Glyn and, prior to that, as CEO of Ulster Bank in Northern Ireland and the Republic of Ireland. Before moving to Ireland, Jim was based in Hong Kong and was CEO Retail and Commercial Banking, Asia and the Middle East for RBS and ABN AMRO. He has also been a member of the RBS Group Management Committee, ABN AMRO Top Executive Group, ABN AMRO Global Consumer Leadership Team and the RBS/Bank of China Joint Steering Committee. Earlier in his career, he held a number of senior executive roles for Citibank in Asia, Australia and New Zealand. Jim has also held various board positions, including at Ulster Bank, Saudi Hollandi Bank, The Royal Bank of Scotland (China) Co. Ltd and RBS (Pakistan) Ltd. He is a past President of the Institute of Banking in Ireland. He is currently a Certified Bank Director.

Paul Mills-Hicks
Commercial Director

Date of appointment: May 2014

Skills and experience

Paul joined the Operating Board in May 2014 as Food Commercial Director, having spent over ten years at Sainsbury's. He was closely involved in the formation and execution of the 'Making Sainsbury's Great Again' strategy and has held a variety of roles in commercial, strategy and finance, most recently as Business Unit Director for Grocery. Prior to Sainsbury's, Paul was European Controller at Marks and Spencer Group Plc and a Director at UBS Warburg.

Operating Board

Angie Risley **Group HR Director**

Date of appointment: January 2013

Skills and experience

Angie was appointed Group HR Director and member of the Operating Board with responsibility for human resources in January 2013. Before joining Sainsbury's, Angie was the Group HR Director for Lloyds Banking Group and an Executive Director of Whitbread PLC with responsibility for HR and Corporate Social Responsibility. Prior to her current role as Non-Executive Director and Chair of the Remuneration Committee at Smith & Nephew plc, Angie spent six years as Non-Executive Director and Chair of the Remuneration Committee of Serco plc.

Phil Jordan **Chief Information Officer**

Date of appointment: January 2018

Skills and experience

Phil joined the Board in January 2018 and has brought a fresh, global perspective on technology to the Operating Board, in addition to a wealth of experience in digital, data and business transformation. Prior to joining Sainsbury's, Phil had a long and successful track record in telecommunications. Most recently, he was Global Chief Information Officer at Telefonica, overseeing Digital Transformation and Information Technology and, prior to that, was Chief Information Officer for Vodafone UK/Ireland. Phil has worked as a Non-Executive Adviser on Technology in the investment and retail banking sector and is currently a Non-Executive Director, member of the Audit Committee and Chair of the Cyber-Security Committee of TalkTalk Telecom Group PLC.

Clodagh Moriarty **Chief Digital Officer**

Date of appointment: June 2018

Skills and experience

Clodagh was appointed Chief Digital Officer in June 2018, when she also joined the Operating Board. Clodagh is responsible for our e-commerce channels, digital products and digital strategy, ensuring customers experience an integrated and seamless digital experience across Sainsbury's, Argos, Tu, Sainsbury's Bank and Nectar. In addition to being the Operating Board sponsor for Wellbeing, she is also a newly appointed member of the Sainsbury's Bank Board and sits on its Nomination and Remuneration Committees. Prior to this, Clodagh has been Director of Online, Head of Online Trading, Merchandising & Content and Category Manager for the Meal Solutions business. She joined Sainsbury's as Head of Strategy, following nine years at Bain & Company. Whilst there, she worked across the London, New York and Johannesburg offices in corporate, private equity and not-for-profit sectors across multiple industries.

Supplementary financial details

1. Weighted average number of shares

FY 2019/20: 2,207.6m (2,471.0m diluted)

FY 2018/19: 2,197.6m (2,468.7m diluted)

2. Dividend

	2019/20	2018/19
Interim	3.3p	3.1p
Final	-	7.9p
Total	3.3p	11.0p

3. Financial calendar

Q1 trading statement 1 July 2020
(16 weeks to 29 June 2020)

Interim results 5 November 2020
(28 weeks to 21 September 2020)

Contacts

James Collins

Head of Investor Relations
Tel: + 44 (0) 20 7695 7112
James.Collins@sainsburys.co.uk

Susie Lynskey

Investor Relations Manager
Tel: + 44 (0) 20 7695 0889
Susie.Lynskey@sainsburys.co.uk

Irene Galvan

Investor Relations Analyst
Tel: + 44 (0) 20 7695 2762
Irene.Galvan@sainsburys.co.uk

Glyn Davies

Investor Relations Assistant
Tel: + 44 (0) 20 7695 0259
Glyn.Davies@sainsburys.co.uk

www.j-sainsbury.co.uk
J Sainsbury plc, 33 Holborn, London EC1N 2HT

J Sainsbury plc